

Key Insights – BI 360 (AtliQ Hardware)

1. Growth in Sales and Margin

- 1 In 2020, gross sales increased by 156% and gross margin increased by 117% compared to the previous year.
- 2 In 2021, gross sales increased by 211% and gross margin increased by 202% compared to the previous year.

2. Market Share Performance (2022)

- 1 Overall market share in 2022 was 5.9%.
- 2 In India, market share was 13.3%, which is the highest among all sub-zones.

3. Net Profit Problem

- 1 Net profit percentage in 2021 was -6.63%.
- 2 Net profit percentage in 2022 declined further to -13.98%.
- 3 This indicates that losses almost doubled in 2022 despite strong growth in sales and margins.

4. Revenue Contribution by Channel, Division and Region

- 1 Retailer channel contributes 72.97% of total revenue.
- 2 PC division contributes only 6.63% of total revenue.
- 3 LATAM region has the lowest revenue contribution at 0.4%.
- 4 India region contributes the highest share of revenue at 25.3%.

Important Business Observation

- 1 The company shows high growth and high revenue, but worsening profitability.
- 2 This situation commonly indicates rising operating costs, pricing pressure, heavy discounting, and higher logistics or expansion expenses.
- 3 Key takeaway: Despite strong growth in sales and margins, AtliQ Hardware's net profit percentage deteriorated sharply in 2022, indicating cost and efficiency challenges.